

Even if there's nothing terribly wrong with the fundamentals of Seven Oaks (I don't think there is because I still own a small amount of it), and later it turns into a tenbagger, the stock will be sold out of White Bread's pension account because Flint doesn't like it, just as surely as stocks that ought to be sold will be kept. In our business the indiscriminate selling of current losers is called "burying the evidence."

Among the seasoned portfolio managers, burying the evidence is done so quickly and efficiently that I suspect it's already become a survival mechanism, and it will probably be inbred so that future generations can do it without hesitation, the way that ostriches have learned to stick their heads in the sand.

As it is, if Boon Doggle doesn't bury the evidence himself at the first opportunity, then he'll be fired, and the whole portfolio will be turned over to a successor who will bury it. A successor always wants to start off with a positive feeling, which means keep the Xerox and wipe out the Seven Oaks.

Before too many of my colleagues cry "foul," let me once again praise the notable exceptions. The portfolio departments of many regional banks outside of New York City have done an outstanding job picking stocks for an extended period of time. Many corporations, especially the medium-sized ones, have distinguished themselves in managing their pension money. A nationwide review would certainly turn up dozens of outstanding stockpickers who work for insurance funds, pension funds, and trust accounts.

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Whenever fund managers do decide to buy something exciting (against all the social and political obstacles), they may be held back by various written rules and regulations. Some bank trust departments simply won't allow the buying of stocks in any companies with unions. Others won't invest in nongrowth industries or in specific industry groups, such as electric utilities or oil or steel. Sometimes it gets to the point that the fund manager can't buy shares in any company whose name begins with *r*, or perhaps the shares must be acquired only in months that have an *r* in their name, a rule that's been borrowed from the eating of oysters.

If it's not the bank or the mutual fund making up rules, then it's the SEC. For instance, the SEC says a mutual fund such as mine cannot own more than ten percent of the shares in any given company, nor can we invest more than five percent of the fund's assets in any given stock.

The various restrictions are well-intentioned, and they protect against a fund's putting all its eggs in one basket (more on this later) and also against a fund's taking over a company à la Carl Icahn (more on that later, too). The secondary